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AS YOU DRIVE from Ahmedabad towards Gandhinagar, you see a shiny new city rising along the banks of the Sabarmati river. The region, once dotted by green fields, is rapidly emerging as a gateway for global capital as new multi-storey towers soar into the sky across the 886-acre Gujarat International Finance Tec City (GIFT City), the first ground-up smart city in India which hosts the country's only International Financial Services Centre (IFSC).

GIFT IFSC, while onshore, is considered a foreign jurisdiction, and offers companies various tax incentives. Conceived 20 years ago when Narendra Modi was the Chief Minister of Gujarat as the hub of global capital, both in-bound and outbound, GIFT City is emerging as a serious competitor on the global stage, dominated by countries such as Singapore, Dubai and Mauritius.

Consider this: Since December 2023, banking assets in GIFT City have doubled to \$106 billion (December 2025). The monthly turnover on its exchanges is up from \$79 billion to \$91 billion. And it now boasts 202 fund management entities, up from 83 in 2023.

Investors, for whom GIFT City is opening the doors to international investing, are not complaining. Last year, the

benchmark Nifty50 gained close to 11%. Double-digit returns in a volatile year are good, right? Not if you look elsewhere. South Korea's Kospi index was a standout and rallied 76% as global investors chased AI-related investment ideas. Even the Nasdaq 100 rose 21%.

Most Indian, especially retail, investors would have missed out on these opportunities in other countries as industry-wide limits imposed by the Reserve Bank of India (RBI) and Sebi have paused fresh inflows into most international funds. There is an industry-wide limit of \$7 billion on the amount Indian mutual funds can invest in overseas securities, apart from a separate \$1 billion cap on investments in exchange-traded funds (ETFs). The IFSCA (International Financial Services Centres Authority) Global Access Provider licence enables brokers to set up operations in GIFT to access global markets.

This framework positions GIFT IFSC not merely as a trading venue but as India's regulated gateway to global capital markets, aligned with international standards and best practices, says India International Exchange IFSC (India INX), a subsidiary of BSE, according to says Vijay Krishnamurthy, the MD and CEO of India INX.

The global access platform will allow Indian investors to directly invest in US-listed stocks and ETFs. NSE IX, a subsidiary of the NSE, has already carried out a soft launch of the platform and has been testing it out for more than a month. It is likely to go for a full launch soon. "Around 12,000-15,000 accounts were opened with us during the soft launch. We want this platform to scale up to support a few million

THE GIFT ADVANTAGE

- 1 **GIFT City (Gujarat International Finance Tec-City), near Gandhinagar, Gujarat, is a greenfield smart city over 886 acres.**
- 2 **First conceived in 2007, it is the only international financial services centre approved by the Government of India, with a unified regulator for banking, capital markets, insurance and digital services.**
- 3 **Growth took off after the establishment of a unified regulator—the International Financial Services Centres Authority—in 2020.**
- 4 **GIFT IFSC is a jurisdiction where regulations have been more globally aligned, with an aim to facilitate cross-border financial services, whether it's banking, asset management, reinsurance, capital market investment, aviation leasing, shipping and other assets.**
- 5 **While it is located onshore, it's treated as a non-resident zone under India's Foreign Exchange Management Act.**

